

Capital Structure Memorandum

Founding cap table • Control Preservation Framework • Pre-seed unit structure • Vesting framework

Version 14 | 2026-07-08 | Unit 400, 718 8 Ave SW, Calgary, AB T2P 1H3 | compliance@4ormfinance.com

1. Introduction

4orm Finance Inc. is being incorporated in Alberta under the Business Corporations Act (Alberta) as Canada's regulated settlement layer for tokenized bank deposits and cash-leg wedge infrastructure. This memorandum sets out the capital structure of the Company at incorporation: the founding cap table, the Control Preservation Framework binding the Founders, the pre-seed unit offering structure, and the vesting framework applied to each grant.

Version 14 supersedes v13 on raise size and unit structure. The founding cap table (v13) is unchanged. The pre-seed unit structure has been updated to reflect the confirmed terms: 3,000,000 Units at \$0.50 per Unit for initial gross proceeds of \$1,500,000, each Unit comprising one Class A common share and one-half whole warrant exercisable at \$1.50 per share, with milestone-triggered warrant exercise. Full warrant exercise would generate up to an additional \$2,250,000, for total potential capital of \$3,750,000.

Key facts

- Founding shares: 20,000,000 Class A common issued at \$0.001 per share (founder tax-basis pricing).
- Share class: single class of Class A common (1:1 voting) for all holders. No differential voting class.
- Team pool: 12.00% of founding shares (2,400,000), reserved for non-founder hires within the pre-seed standard range of 10 to 15%.
- Pre-seed offering: 3,000,000 Units at \$0.50 per Unit at \$10M pre-money valuation.
- Unit composition: 1 Class A common share + 1/2 whole warrant (whole-warrant exercise price \$1.50).
- Warrant trigger: milestone-based (institutional MOU with a bank counterparty, Alberta Sandbox acceptance, or Board-defined events).
- Total potential capital: \$3,750,000 (\$1,500,000 initial + up to \$2,250,000 contingent on warrant exercise).
- Standard shareholder protections: ROFR, pre-emptive, drag/tag, broad-based weighted-average anti-dilution.

2. Founding Cap Table

20,000,000 founding common shares issued at \$0.001 per share. All holders receive Class A common with a 1:1 voting multiple. The table below shows ownership at founding (pre-money).

Holder	Role	Shares	% of Founding
Chad R. Johnston	Founder, CEO, President, Chairman	13,940,000	69.70%
Kevin Wong	Co-Founder, Go-to-Market Strategy	2,000,000	10.00%
Team Pool (unallocated)	Reserve for non-founder hires	2,400,000	12.00%
Bruce Fair (via Mench Capital)	Founding Capital Markets Advisor	800,000	4.00%
Sam Mraiheen	Founding contributor (recognition)	200,000	1.00%
Don Hickling	Founding Angel	200,000	1.00%
Miika Makela	Capital Strategy Advisor	200,000	1.00%
Don Hickling (Council seat)	Advisory Council	50,000	0.25%
James Atherton	Advisory Council	50,000	0.25%
Dean McCall	Advisory Council	50,000	0.25%
Zed	Advisory Council / Head Architect	50,000	0.25%
Angelo Aquino	Domain Advisor (RWA)	20,000	0.10%
Dean Hesse	Domain Advisor (Research)	20,000	0.10%
Louise Royer	Founding contributor (recognition)	20,000	0.10%
TOTAL		20,000,000	100.00%

Founder holdings — combined Chad and Kevin bloc: 15,940,000 shares = 79.70% at incorporation. Kevin retains full economic and voting rights over his shares; there is no voting trust or irrevocable proxy. Coordination between the Founders is through the Voting Alignment Covenant in the Founders' Voting Agreement v14 §3.

Recognition-equity holders — Sam Mraiheen (1.00%) and Louise Royer (0.10%) hold founding recognition equity with no operational role. They are treated as ordinary shareholders and receive shareholder communications on the ordinary cadence.

3. Pre-Seed Unit Structure

The pre-seed round is a unit offering at \$10M pre-money valuation. The Company is offering up to 3,000,000 Units at \$0.50 per Unit for aggregate initial gross proceeds of \$1,500,000. Each Unit comprises one (1) Class A common share and one-half (1/2) whole warrant to purchase one (1) additional Class A common share at \$1.50 per share. Warrants are milestone-triggered. Full exercise would generate up to \$2,250,000 in additional gross proceeds, bringing total potential capital in to \$3,750,000.

Pre-Seed Unit Economics

Component	Ratio / Strike	Price	Quantity	Gross Proceeds	Dilution
Class A common share	1 per Unit	\$0.50	3,000,000	\$1,500,000	13%
Half warrant (whole strike \$1.50)	0.5 per Unit @ \$1.50	\$1.50	1,500,000	\$2,250,000	23%
Total potential capital				\$3,750,000	

Pre-money share count 20,000,000. Post-share subscription 23,000,000 shares outstanding. Post-warrant exercise 24,500,000 shares outstanding. Implied post-money at share subscription \$11,500,000. Implied post-money at full warrant exercise \$36,750,000. Warrant triggers include an executed institutional MOU with a bank counterparty and Alberta Financial Regulatory Sandbox acceptance, and are being finalized by the Board.

4. Control Preservation Framework

The Company preserves founder control through the following contractual mechanisms in the Founders' Voting Agreement v14 and Articles of Incorporation:

- Voting Alignment Covenant (FVA §3): Founders consult before voting on Covered Matters and try to reach a common position; free will preserved for each.

- Founder Consent Rights (Chad, FVA §5): eight enumerated matters requiring Chad's specific written consent while he holds at least 5% of outstanding shares.
- Co-Founder Consultation Rights (Kevin, FVA §6): five enumerated matters requiring prior consultation with Kevin; sale of Company requires his written consent.
- Phased Board Composition (FVA §7): 2 → 3 → 5 → 7 seats through Series A, with Chad as Chairman with tie-breaking vote at all stages.
- CEO Tenure Protection (FVA §8): Chad removable only by 75% shareholder vote AND material cause.
- Co-Founder Role Protection (FVA §9): Kevin removable from Board seat or role only by 75% shareholder vote AND material cause.
- Supermajority Thresholds (FVA §11): 75% Articles / 90% Mission Anchor / 66.67% sale of Company, plus Founder Consent and Kevin Consent where applicable.
- Mission Anchor Contractual Incorporation: incorporated by reference into all operative agreements; either Founder may invoke a Pause where a material Mission Anchor deviation is asserted.
- Standard Economic Protections: ROFR, pre-emptive, anti-dilution, drag/tag per the Shareholders' Agreement.

5. Vesting Framework

All founder and advisor share grants are subject to reverse vesting in the corresponding Reverse Vesting Agreement:

- Founders (Chad, Kevin): 4-year monthly vesting with a 1-year cliff commencing on incorporation. 500,000 Kevin shares vest at the Cliff Date; the remainder vest monthly at approximately 41,667 shares per month for 36 months.
- Bruce Fair (Founding Capital Markets Advisor): 24-month monthly vesting with secured-at-signing carve-out per the Mench Capital Advisor Agreement.
- Advisory Council seats (Don, James, Dean McCall, Zed): 24-month monthly vesting with secured-at-signing carve-out per each Advisor Agreement.
- Domain Advisors (Angelo, Dean Hesse), Capital Strategy Advisor (Miika): 24-month monthly vesting with secured-at-signing carve-out.
- Founding contributors (Sam Mraiheen, Louise Royer): recognition equity; vesting per each individual grant letter.
- Team pool (2,400,000 shares): granted from ESOP as employees are hired, subject to 4-year monthly vesting with 1-year cliff on individual grant terms.

Quarterly KPI Checkpoints are established by the Board for each Founder and reviewed each quarter (FVA v14 §10). Checkpoints are informational; they do not gate vesting.

6. Team Pool and Hiring Roadmap

12.00% of founding shares (2,400,000 Class A common) is reserved for non-founder hires across the multi-entity Canadian regulated enterprise. Per-role allocations follow Carta hire-number medians for regulated fintech pre-seed. The team pool sits within the standard pre-seed range of 10 to 15%.

7. Regulatory Framework

Securities: NI 45-106 accredited investor exemption for the pre-seed unit offering. NI 31-103 registration analysis on capital-raise compensation (per the Capital-Raise Compensation Policy; issuer-officer carve-out under CP 31-103CP s.1.3). The Alberta Securities Commission is the primary regulator; Osler (Alberta) and Fasken (BC) are external counsel.

Corporate: Alberta Business Corporations Act (ABCA). Articles of Incorporation incorporate the Mission Anchor by reference and set the single Class A common share class. Bylaws follow the standard Alberta corporate framework.

8. Referenced Documents

- Founders' Voting Agreement v14 - voting alignment covenant, Founder Consent Rights, Board Composition, CEO Tenure Protection, Mission Anchor stewardship
- Co-Founder Agreement (Chad and Kevin) - individual co-founder relationship, roles, vesting, IP assignment
- Reverse Vesting Agreements (each Founder and each Advisor) - vesting terms and clawback
- Mission Anchor v14 - constitutional commitments
- Decision Matrix v16 - operational authority, Board Approvals master list, Board Reporting Cadence
- Capital Structure Workbook v14 (xlsx) - full cap table, benchmark matrix, pre-seed unit structure tab, vesting schedules
- Equity Rationale v14 - position-by-position rationale for each holder's allocation
- Capital Raise Compensation Policy v14 - compliance framework for capital-raise compensation
- Mench Capital Advisor Agreement v14 - Bruce Fair's advisor engagement
- Dean McCall Advisory Engagement Letter - CTO Placement Success Fee framework
- Advisor Agreement Template v14 - standard advisor engagement
- 5-Year Pro Forma v14 - financial model with SPEER toggle

